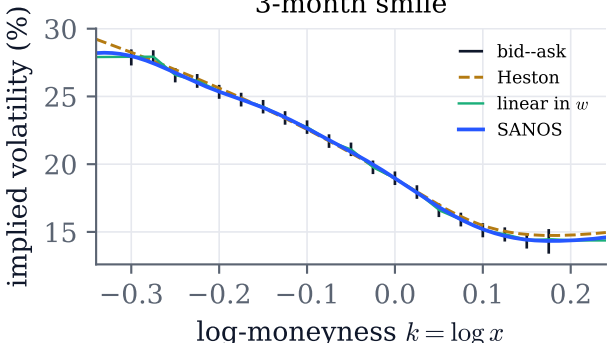
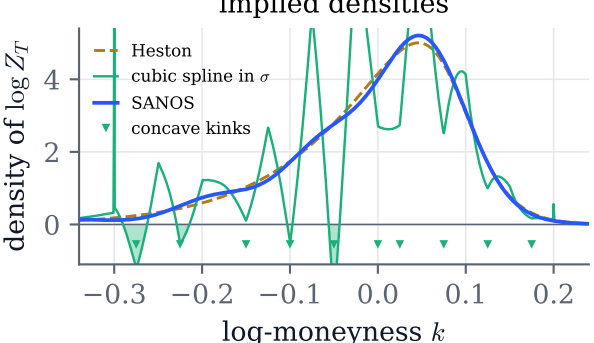

3-month smile
implied volatility (%)
30
25
20
15
−0.3
−0.2
−0.1
0.0
0.1
0.2
log-moneyness $k = \log x$
bid--ask
Heston
linear in w
SANOS


implied densities
density of $\log Z_T$
4
2
0
−0.3
−0.2
−0.1
0.0
0.1
0.2
log-moneyness k
Heston
cubic spline in σ
SANOS
concave kinks